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QUESTIONS PRESENTED

I.

Does federal ERISA law preempt the State of Louisiana's community property/inheritance law?

II.

Does the ERISA anti-alienation provision apply to funds after they have been paid by the plan administrator to a beneficiary?

III.

Does ERISA preempt state laws that provide for a claim against funds that have been paid by the plan administrator to a beneficiary?

IV.

Does a Louisiana Judgment of Possession rendered in 1980 meet the criteria of a QDRO?

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STATEMENT OF THE CASE

The basic facts of this case[1] are not in dispute. Isaac Boggs, Jr. ("Isaac") married Dorothy Boggs ("Dorothy") in 1949, the same year that he began employment at South Central Bell. Dorothy predeceased him in 1979; they had been married 30 years. Isaac and Dorothy had three children: David Bruce Boggs, Thomas Frank Boggs, and Harry Maurice Boggs, respondents herein.

In 1980, Isaac married the petitioner herein, Sandra Jean Boggs. In 1985, when Isaac retired, he was eligible for benefits from the BellSouth Management Savings Plan ("the plan"). That plan is subject to ERISA and the Retirement Equity Act of 1984, 29 U.S.C. §1001 *et seq*. He received a lump sum distribution of plan benefits of $151,628.94, which he then "rolled over" into an IRA account, and Isaac named Sandra, his second wife, as beneficiary under the plan and the IRA. The IRA is a qualified account under IRC Section 401 *et seq*.

Isaac made no withdrawals from the IRA account prior to his death in February, 1989, at which time the IRA account was valued at $180,778.05. In addition to the lump sum distribution from the plan, Isaac acquired 96 shares of AT&T stock which were distributed to him when he retired, and life insurance policies payable to Sandra as the named beneficiary.

The sole testamentary disposition of Dorothy's will, dated January 11, 1967, states: "I give and bequeath the maximum permitted under the law to my beloved husband, Isaac

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[1] The Joint Stipulation of Fact is reproduced in Joint Appendix pp. 25-30.

Boggs, together with the lifetime usufruct over the balance."[2]

The "Judgment of Possession"[3] in the succession of Dorothy Boggs, dated February 5, 1980, summarized below, ordered:

> **[1]** Isaac "be recognized as the surviving spouse in community with the decedent [Dorothy] and as such the owner of an undivided one-half (½) of all the property belonging to the decedent;"[4] **[2]** Isaac "be recognized as a particular legatee and, as such, placed in possession of an undivided one-third (1/3) of all the property belonging to the decedent as well as the lifetime usufruct of the other undivided two-thirds (2/3) of decedent's property;"**[3]** respondents herein "be recognized as the children and sole heirs of the decedent and, as such, placed in possession of two-thirds (2/3) of all the property belonging to the decedent in the proportions of an undivided one-third (1/3) each, **[4]** subject to the lifetime usufruct in favor of their father, Isaac E. Boggs, Jr., including, but not limited to..." a detailed list of specific property which followed, including the Bell Systems Savings Plan for Salaried Employees in the name of Isaac Boggs, Jr. (then valued at $42,388.57) and AT&T stock.

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[2] Record at 52.

[3] Record at 53-57.

[4] This judgment should have read "...(½) of all the property of the community of decedent and her husband." As stated in the judgment, this contradicts both the will and Louisiana law, and is impossible, because under the terms of the judgment, Isaac would have inherited 1/6 more of the property than actually existed.

Isaac's will dated May 31, 1985, gave a life usufruct to his then-wife, Sandra, "of that portion of my estate, both separate and community, which I leave to my children....I further give to my wife, as usufructuary, the right to sell all or any part of the property subject to her usufruct without the consent of the naked owners. I give, leave and bequeath to my children [respondents herein], or their descendants per stirpes should any of them predecease me, all of my estate in equal portions, share and share alike"[5]

At his retirement in 1985, Isaac began receiving a monthly annuity of $1,777.67, based on more than 36 years of employment. That annuity was converted into a survivor's annuity upon his death in 1989, and which is currently paid to Sandra.

After Isaac's death, two of the Boggs children filed an action in Louisiana state court seeking an accounting of their father's usufruct and an award of some portion of the retirement benefits. Sandra Boggs sought a declaratory judgment in federal district court (naming all three of Isaac's children as defendants) that ERISA preempts Louisiana community property law, thereby preventing the children from receiving any portion of the pension benefits.

The district court held that "ERISA merely imposes standards on private administrators of private benefit plans [and] does not evince any special concern for preserving all of the benefits of the plans for the participants." Further, the court found, application of Louisiana's community property law would not do "major damage to any federal interest."

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[5] Record at 50.

The Fifth Circuit U.S. Court of Appeals, in an opinion drafted by Judge John Minor Wisdom, agreed with and affirmed the district court's decision, after analyzing both the purpose of ERISA and Louisiana community property law and tradition. The Court held that under the facts of this case, Louisiana community property law is not sufficiently "related to" an employee benefit plan to necessitate ERISA preemption, because nothing was sought from the plan or its fiduciary, and no duty would be imposed on the administrator.

Judge Wisdom noted that the area of state domestic relations law has long been "sacrosanct" and protected against federal intrusion. The Court noted that this decision relates not to the plan but to the disposition of the proceeds only after payment to the designated beneficiary. The Court also determined that neither ERISA's spendthrift provision[6] nor the IRA provision enacted as part of ERISA[7] had displaced or preempted Louisiana's community property law.

The Fifth Circuit decision reiterated its prior position[8] that "ERISA was not meant to consume everything in its path."

SUMMARY OF THE ARGUMENT

The decision of the Fifth Circuit should be affirmed.

The ancient community property laws of Louisiana are not displaced or superceded by the federal enactment of the

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[6]29 U.S.C. §1056(d)(1).

[7]26 U.S.C. §408.

[8]As stated in *Hook v. Morrison Milling Co.*, 38 F.3d 776, 786 (5th Cir. 1994).

preemption provision of ERISA.[9] Historical federal jurisprudence and the enactments of Congress in ERISA together mandate that our federal system of law has consistently honored domestic relations and marital property rights as the province of the states.

To reverse the ruling of the lower courts in this case would disturb an important foundation of our federal system, that is, the traditional areas of state concern, and the clear intent of Congress.

The judiciary in its decisions, the Congress in legislation and the executive branch of government exercising rule-making powers have all agreed that the anti-alienation provision contained in ERISA[10] does not apply to funds once they have been received by the participant or beneficiary, nor is transfer by operation of law such a prohibited alienation under federal law, due to insufficient federal interest. ERISA mandates recognition of prior spouses' and childrens' rights to pension funds through a state decree. A judgment of possession in a succession meets criteria for a qualified domestic relations order.

The provisions of federal tax laws are not determinative of the ownership of marital property. State law decides the effect of the spendthrift provisions with regard to an IRA. Under the facts of this case, there is no reason to find that ERISA preempts state domestic or inheritance law.

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[9]29 U.S.C. §1144(a).

[10]29 U.S.C. §1056(d)(1).

THE ARGUMENT

I.
The Purpose of the Employee Retirement Income Security Act

In 1974 the Congress adopted ERISA. The purposes of the Act are set out at 29 U.S.C. §1001. Generally, they set out that retirement plans and their management have grown into a national concern that affects interstate commerce; that there existed a lack of information given to the employee as to the terms of their retirement plans. In addition to addressing these concerns, the purpose of ERISA is to provide safeguards as to the administration of the plans, provide minimum standards of financial soundness of the plan to pay promised benefits, and ensure reasonable vesting provisions.

The purpose also includes establishing standards for the conduct, responsibility and obligations of fiduciaries of employee benefit plans and appropriate remedies, sanctions and ready access to the federal courts. The Act sets out the purpose of requiring plan termination insurance; and protects employees by improving the equitable character of benefit plans by requiring them to vest the accrued benefits of employees with significant periods of service.[11]

Curiously absent from the stated purpose of ERISA is the establishment of nationally uniform property rights as between spouses.

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[11] 29 U.S.C. §1001.

II.
The Purpose and Application of Louisiana's Community Property and Inheritance Laws

In Louisiana, "marriage is a legal relationship between a man and a woman that is created by civil contract."[12]

The Fifth Circuit correctly determined in this case, and the Petitioners concede, that under Louisiana's community property regime, "each spouse owns a 'present undivided one-half interest' in all community property assets, which vests from the moment of acquisition."[13] Neither the community nor things of the community may be judicially partitioned prior to the termination of the community regime; during the existence of the community property regime, the spouses may voluntarily partition the community property, but this division agreement must be evidenced by authentic act.[14]

A matrimonial regime is a system of principles and rules governing the ownership and management of the property of married persons as between themselves and toward third persons.[15] The district court also correctly concluded that under Louisiana's community property regime, a non-employee spouse has a right to claim pension and survivorship benefits even if such do not become payable until after the community is dissolved, so long as both the pension and the community co-

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[12] La. Civ. Code Art. 86.

[13] See Brief for Petitioner on the merits (hereinafter "P. Brief") at p. 12.

[14] La. Civ. Code Arts. 2331, 2336.

[15] La. Civ. Code Art. 2325.

exist for some period of time.[16]

It may be helpful here to trace Isaac's pension plan and benefits and its disposition under Louisiana law:

[1] Isaac began working for South Central Bell the same year he and Dorothy married, 1949. On the date of their marriage, the community property regime commenced. There is no record of a declaration of partition of community property. **Dorothy's rights to community property vested at its inception, instantaneously with Isaac's.**

[2] Isaac began paying into a pension plan , which could not have been governed by or even anticipated ERISA until at least 1974, when ERISA was enacted. Neither Dorothy nor Isaac, could have received a distribution of plan benefits prior to his retirement or death. The pension plan was voluntary and privately funded. His earnings (wages) are community property under Louisiana law. Any community funds that were paid into the pension plan could have been placed elsewhere, for example, in a savings account. Any sums paid into the plan by the company would be considered fruits of the labor of the community, and thus community property. As the district court properly stated, under Louisiana law, **Dorothy (and Isaac) had an undivided interest in the retirement plans at the time that the fund was established**, an "incorporeal, movable right," which was classified as such at the dissolution of the community (on the date of her death).

[3] Dorothy and Isaac were married for 30 years, until her death in 1979. Three children were born of this marriage;

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[16] The district court and Fifth Circuit opinons are reproduced in the appendix to Petioner '◦ Petition for Writ of Certiori before this Court.

these children were also Isaac's only children. Under Louisiana inheritance law, the children are considered "forced heirs" unless disinherited for specific, very limited reasons.[17] Neither Dorothy nor Isaac disinherited the children. Forced heirs inherit by operation of law, and parents can bequeath more, but not less, than the forced heirs' legal portion. At the moment of her death, however, by operation of law, **Isaac had legal "usufruct"[18] over Dorothy's one-half interest in community property, but only until his death or remarriage.**[19]

[4] The sole testamentary disposition of Dorothy's will stated only:

> "I give and bequeath the maximum permitted under the law to my beloved husband [Isaac] together with the lifetime usufruct over the balance."

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[17] See *Succession of Lawrence*, App. 1 Cir. 1993, 623 So.2d 96.

[18] La. Civ. Code Art. 535 defines usufruct as "a real right of limited duration on the property of another. The features of this right vary with the nature of the things subject to it as consumables or nonconsumbles." The duty of the usufructuary [holder of the usufruct] of a consumable is to pay the naked owner either the value the things had at the commencement of the usufruct or deliver to the naked owner things of the same quantity and quality. (Art. 538). Usufruct may be established by a juridical act [a conventional usufruct] either inter vivos or mortis causa, or by operation of law[a legal usufruct]. (Art. 544).

[19] Dorothy, by testamentary dispositon of her will, *infra*, granted Isaac a conventional usufruct for life, confirming and expanding the legal usufruct over community assets (which would have ceased upon his marriage to Sandra). This would not have conflicted with forced heirship law; his duty of accounting and delivery was the same regardless of the duration of the usufruct.

It appears that Dorothy had no separate property at the time of her death, only a ½ interest in community property. Under the principle of *le morte saisit le vif*, by operation of law, **all heirs and legatees inherited, and their rights vested, at the moment of her death.**[20] The "Judgment of Possession" recognizes and clarifies the share of the heirs and legatees by operation of law under both community property and forced heirship principles. Isaac was recognized as the naked owner of an undivided ½ interest of all the property belonging to the community, placed in possession of an undivided 1/3 of all the property belonging to Dorothy (her ½ of the community), and

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This is commonly known as "seizin," which means that, under La. Civ. Code Art 940: A succession is acquired by the legal heir, who is called by law to the inheritance immediately after the death of the deceased person to whom he succeeds....This rule applies also as to testamentary heirs, to instituted heirs and universal legatees, but not to particular legatees." *Planiol*, the noted 20th Century commentatior on Civil Law, in his *Traite Elementaire de Doit Civil* (1938) [English translation by the Louisiana Law Institute, 1959], says at No. 1938:

> (1) Taking possession of property.
> An heir entitled to seisin can take possession of the decedent's estate, both in reality and in personality, without complying with any formalities. He can immediately begin to administer the estate, and receive revenues and fruits.

This concept is expressed in La. Civ. Code Art 941, and is traced back by Planiol as far back as A Decision of 1259: "*Per conseuelue denym terrae mortuus debebat vivium saisire.*" (Olim, I, 452, §xvii). Interestingly, the only particular legacy recognized in the judgment of possession was the disposition of 1/3 of all Dorothy's property in naked ownership and the lifetime usufruct of the other 2/3 (of which the children had naked ownership, subject to Isaac's usufruct). As heirs of the blood, the children were seized upon their mother's death, and not particular legatees who had to be put into possession by judgment. Louisiana codified this concept into successions law before France.

given a lifetime usufruct of the other 2/3 of Dorothy's property. The children were recognized as the sole heirs of Dorothy and placed in possession of 2/3 of her property, divided further into thirds for each child, subject to the lifetime usufruct of Isaac.[21] The Judgment of Possession is a memorialization of the rights of all heirs and legatees, which had already vested at the moment of Dorothy's death.

[5] Isaac married Sandra in 1980; they had no children together. Like Dorothy, **Sandra's rights in the community property vested at its inception, at the moment of their marriage, as to the fruits of the labor of that community**. Under Louisiana community property law, she did not have an automatic right to any of his separate property or property acquired before the inception of the Isaac-Dorothy community.

[6] Isaac retired in 1985, receiving a lump sum, which he "rolled over" into an IRA[22], stock, and a life insurance policy payable to Sandra as the named beneficiary. He began receiving a monthly annuity, which continued until his death in 1989. It appears undisputed that *Isaac's* **"incorporeal, immovable" rights in the plan vested at the time of its inception, even though he could not withdraw those funds until retirement.**

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The application of marital property and inheritance law is complex and pervades many facets of life in Louisiana, but state and federal district courts have, for the most part, developed considerable expertise in such divisions as a matter of course over generations. [The error in the judgment is noted *supra*.] The application of these principles to property other than the ERISA plan benefits does not appear to be in dispute.

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It is assumed that this "roll over" was voluntary and that Isaac could have disposed of this lump sum in another fashion, such as a savings account or purchase of real property, etc., but that the roll over was performed to avoid tax consequences and/or penalties.

[7] When Isaac died in 1989, the heirs' and legatees' rights vested at the moment of his death, as did their rights to full ownership of Dorothy's property. His will gave Sandra the family home, property and fixtures, and a life usufruct to Sandra over all of his estate, both separate and community, that he left to his children. **Sandra had a vested right in naked ownership of her own portion of the community of Isaac-Sandra, which is ½, by operation of law. She has a usufruct over Isaac's ½ of the community property by operation of law until death or remarriage.** His will left all his separate and community property, minus the home, to his children in naked ownership in equal shares, subject to a life usufruct of Sandra. As with their mother's estate, the children were the forced heirs of Isaac by operation of law, but he left them more than was required by law. Sandra began receiving a lifetime survivor's benefit, as per terms of the benefits plan, after Isaac's death. Her right to receive a survivor's annuity under the terms of the plan is not in dispute.

* * *

Two sons sought a declaration of their rights under state law, including an accounting of Isaac's usufruct delineated in the Judgment of Possession from Dorothy's succession, and an award of some portion of the retirement benefits proportional to the share of the community of Isaac-Dorothy. Petitioner herein, Sandra, filed a Complaint for Declaratory Judgment seeking a ruling that ERISA preempts Louisiana community property law. In that complaint, she states that "neither the assets and/or benefits [the stock, lump sum and annuity] were included in the detailed descriptive list filed in the Succession of Isaac" because ERISA preempts community property/succession laws as to those assets, and therefore the children have no interest in the assets and/or benefits of the retirement plan.

Petitioner states that "the crucial date on which Dorothy's rights are determined is the date of her death in 1979. At that date neither she nor her estate, had any rights in the pension plan, because federal law had previously preempted Louisiana community property law, the preemption having been effective on the effective date [of ERISA]." No authority, state or federal, is cited for this proposition.[23]

If this Court were to adopt Petitioner's pronouncements as a rule of law, it would be akin to announcing that community property rights in assets, whatever their character, do not vest until death. Surely such an announcement would disregard the tradition of "[f]ederal respect for state domestic relations law" and this Court's jurisprudential interpretation of preemption that "[w]hen courts face a potential conflict between state domestic relations law and federal law, the strong presumption is that state law should be given precedence."[24]

Dorothy is deceased. We do not know whether had she known (or even suspected) that all rights to any pension benefits for her or her heirs terminated at her death, she would have made other provisions for her children or preserved a portion of community assets for them in a form other than an ERISA plan. Non-participating spouses should be forewarned.

III.
ERISA and Preemption

The final form of the ERISA preemption clause states:

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[23] See P. Brief at 14-15.

[24] *Brandon v. Traveler's Insurance Company*, 18 F.3d 1321, 1326 (5th Cir. 1994), *cert. denied*, 115 S.Ct. 732 (1995).

§1144. Other laws

(a) Supersedure; effective date. Except as provided in subsection (b) of this section, the provisions of this title and title IV shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan described in section 4(a) [29 USCS § 1003(a)] and not exempt under section 4(b) [29 USCS § 1003(b)]. This section shall take effect on January 1, 1975.

This final form is the product of the American legislative process.

The actual historical evidence of Congressional intent regarding preemption is sparse.[25] It reveals that Congress gave little thought to preemption.[26] The versions of ERISA which were exposed to public and legislative scrutiny tied the scope of preemption to the scope of ERISA regulation.[27] The House bill would have preempted only state laws that relate to reporting, disclosure and fiduciary responsibilities, and state laws that relate to funding and benefits-vesting provisions of pension plans.[28] The Senate legislation preempted state laws that "relate to the subject matters regulated by this Act."[29] ERISA emerged from a Conference Committee with the present language only 10 days prior to the enactment; the change brought little

[25] *See* Fisk, The Last Article About the Language of ERISA Preemption? A Case Study of the Failure of Textualism, 32 Harvard Journal on Legislation, 35, 52 (Winter, 1996).

[26] *Ibid.*

[27] *Ibid.*

[28] *Ibid.* at 52-53.

[29] *Ibid.* at 53.

discussion.[30]

The quiet birth of the ERISA preemption clause did not portend a quiet existence; over 3,000 cases have been filed related to the issue.[31] There is evidence that some members of Congress thought that the newly fashioned preemption provision would soon be revisited. Section 3022 of ERISA mandates a Joint Pension Task Force to study the effects and desirability of Congressional preemption. The Task Force study never materialized.[32]

The yoke fell on the shoulders of the courts to provide a workable meaning to the crucial clause. The term "relates to" has been a particular nuisance. In *N.Y. Conference of Blue Cross v. Travelers Ins.*[33], Justice Souter stated: "[W]e have to recognize that our prior attempt to construe the phrase `relate to' does not give us much help drawing the line here." Elsewhere in the opinion, Justice Souter found:

> "If `relate to' were taken to extend to the farthest stretch of its indeterminacy, then for all practical purposes preemption would never really run its course....But that, of course, would be to read Congress's words of limitation as mere sham, and to read the presumption against pre-emption out of the law whenever Congress

[30] *Ibid.*

[31] *Ibid* at 59.

[32] *Ibid* at 54-55.

[33] 115 S.Ct. 1671 (1995). In this case, Justice Souter outlines previous judicial experiences with the "relates to" clause.

speaks to the matter with generality.[34]

Further, his analysis continued,

> "We simply must go beyond the unhelpful text and the frustrating difficulty of defining its key term, and look instead to the objectives of the ERISA statute as a guide to the scope of the state law that Congress understood would survive."[35]

With this innovative effort the Court in its recent bout with the troubling clause committed itself to completing the task left undone by Congress. The Court came to the conclusion that

> "The basic thrust of the pre-emption clause, then was to avoid a multiplicity of regulation in order to permit the nationally uniform administration of employee benefit plans."[36]

The Court further included stated laws that provide alternate enforcement mechanisms as candidates for preemption.[37] With this opinion the Court clearly established a predictable, meaningful interpretation of the preemption clause while showing the continuity of its jurisprudence, which consistently preempted those state laws which threaten the uniform administration of benefit plans.

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[34] *N.Y. Conference of Blue Cross, supra*, at 1677.

[35] *Ibid.* at 1677-1678.

[36] *Ibid.*

[37] *Ibid.*

The earlier case of *Fort Halifax Packing Co. v. Coyne*, 482 U.S. 1 (1987), had already drawn the distinction between the regulation of plans and that of distribution of benefits. In declining to find preemption in that case, this Court reasoned that the state law at issue "...fails to implicate the regulatory concerns of ERISA itself...The focus of ERISA is on the administrative integrity of benefit plans---which presumes that some type of administrative activity is taking place." Further, this Court stated that "ERISA's pre-emption provison does not refer to state laws relating to `employee benefits' but to state laws relating to `employee benefit *plans*"[38]

The Tenth Circuit, citing *Fort Halifax, supra,* in *Guidry v. Sheet Metal Workers International Association, Local No. 9,* 39 F.3d 1078, 1085 (10th Cir. 1994), *cert. denied* 115 S.Ct. 169, reasoned that

> "As the Supreme Court has pointed out, ERISA's pre-emption provision does not refer to state laws relating to `employee benefits' but to state laws relating to `employee benefit plans.'"

The Fifth Circuit's affirmation of the lower court decision in the present case, *Boggs*, is right on point. In finding that the venerable property laws of the State of Louisiana do not threaten the administration of an employee benefit plan, Judge Wisdom reasoned:

> "This Court concludes that, under the facts of this case, the Louisiana community property law is not sufficiently `related to' an employee benefit plan to necessitate ERISA preemption...Benefits will continue to be paid to

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[38] 481 U.S. 1 (1987) at 7, 15. (Emphasis in original.)

> the beneficiary in the manner provided in the plan. A spouse's accounting obligation under community property law affects employee benefit plans `in too tenuous, remote, or peripheral a manner to warrant a finding that the law `relates to' the plan. Our decision relates not to the plan but to the disposition of the proceeds only after payment to the designated beneficiary..."[39]

Petitioner contends that the payment (distribution) of benefits in and of itself "relates to" the pension plan.[40] Petitioner's reasoning is contrary to the holdings of this Court. It obliterates the distinctions between "benefits" and "benefit plans," outlined by Congress and honed by jurisprudence for the purpose of preemption determinations under ERISA.

The accounting for benefits after they are paid and no longer managed by the beneficiaries of the plan certainly do not "relate to" the administration of a pension benefit plan.

IV.
ERISA Preemption of State Community Property Laws: The Courts Say "NO"

Following the enactment of ERISA, the traditional jurisdiction of the states in domestic relations and community

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[39] *Boggs v. Boggs*, 82 F.3d at 96-97 [citations omitted].

[40] Petioner has missed the distinction between the terms "payable" and "paid,": "The erroneous result reached by the Fifth Circuit is proof that Louisiana's community property laws do `relate to' the pension plan, because those laws substantially affect the disposition of the economic benefits paid by the plan." See P. Brief at 15 and Respondent's footnote 72, *infra*.

property matters, and the underlying foundation that supported that jurisdiction, was undisturbed.

For example, *The Marriage of Johnston*, 149 Cal. Rptr. 798 (1978), *cert. denied* 444 U.S. 1035, is a California Supreme Court decision upheld by this Court. The California Court's decision stated that "the laws relating to marital dissolution are uniquely local in nature."[41] That Court cited a previous decision[42] that

> "whether the community property laws are such laws [to be preempted by ERISA] is not stated in the Act. If they are determined to be such, the federal judiciary will have been granted a roving commission to delineate family property law with little assistance from the Congress as to how to proceed. Hopefully Congress did not intend that the members of the federal judiciary begin ad hoc to create a body of federal law in an area so traditionally the preserve of the states."

The California Supreme Court in *Johnston* noted that the *Pardee* decision[43] had set out that

> "The legislative history suggests that the Congressional uniformity was confined to matters involving the minimum standards of pension plans and the safeguards necessary to secure equitable administration....An intent to regulate pension plans does not necessarily include an

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[41] *Marriage of Johnston* at 805.

[42] *In re Marriage of Pardee*, 408 F.Supp. 666 (C.D. Cal 1976) at 669.

[43] *Pardee* at footnote 4.

intent to control the state's distribution of family assets in divorce and separation proceedings."

The following year in *In re Marriage of Campa*, 152 Cal. Rptr. 362 (1979), *cert. denied* 444 U.S. 1028, the California Supreme Court extensively listed the evidence of Congressional intent in adopting ERISA. The California Court found that ERISA dealt with the administration of pension plans, and that "Congress, in essence, aimed at assuring that pension rights are real---that new employees are not kept from participating in a plan for a long time and that the expected benefits do not evaporate due to unfunded maladministration, a company going out of business or a termination after many years of work. The preemption claim and ERISA's section 1144(a) must be viewed in this setting."[44] The Court held that ERISA did not preempt California community property laws. The appeal of this case was dismissed by this Court for lack of a federal question.[45]

Federal Courts were in accord with the view that ERISA did not snatch historic control over domestic relations and property law away from the states. In *Stone v. Stone*, 632 F.2d 740 (9th Cir. 1980), the Ninth Circuit held that ERISA did not preempt state court orders to pension plans to pay a community property share of plan benefits. Citing *Campa*, the Court held that ERISA did not foreclose suits in state courts that seek to enforce a community property interest.

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[44] *Campa* at 367.

[45] 444 U.S. 1028. *See also In re Marriage of Pilatti*, 157 Cal. Rptr. 594 (1979), *cert. denied* 445 U.S. 916, which reached the same conclusion that community property laws survive ERISA.

In *Ball v. Revised Retirement Plan for Salaried Employees of Johns-Manville Corp. And Subsidiaries*, 522 F.Supp. 718 (Colo. 1981), the Court assessed the status of current jurisprudence on the subject of preemption of state domestic laws and found that virtually every other federal court presented with this question has found that assignments pursuant to domestic relations decrees are implied exemptions from ERISA's preemption and anti-alienation provisions.[46]

Clearly the law on the subject of state property and domestic law, and its non-preemption by ERISA was settled. The federal and state courts had reached an understanding that the laws of the states would remain in effect and fully enforceable. Spouses could rely on the rights given to them under the community property laws of their states.

Petitioners herein place much reliance on *Wissner v. Wissner*, 338 U.S. 655 (1950), *Free v.. Bland*, 369 U.S. 663 (1962) and *Hisquierdo v. Hisquierdo*, 439 U.S. 572 (1979).[47]

These cases dealt with federal preemption of community property laws in the matters of life insurance programs, U.S. savings bonds survivorship provisions, and railroad retirement benefits, respectively. The distinction to be drawn from the case

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[46] Cases cited included *Operating Engineers Local No. 428 Pension Fund v. Zamborsky*, 470 F.Supp. 1174 (D. Ariz. 1979), *aff'd* 650 F.2d 196 (9th Cir. 1981); *American Telephone and Telegraph v. Merry*, 592 F.2d 118 (2d Cir. 1979); *Cody v. Rieker*, 454 F. Supp. 22 (E.D. NY 1978), *aff'd* 594 F.2d 314 (2d Cir. 1979); *Central States Southeast and Southwest Areas Pension Fund v. Parr*, 480 F.Supp 924 (E.D. Mich. 1979); *Senco of Florida, Inc. v. Clark*, 473 F.Supp 902 (M.D. Fla. 1979); *Cartlege v. Miller*, 457 F.Supp 1146 (S.D. N.Y. 1979). *See also Bowen v. Bowen*, 715 F.2d 559 (11th Cir. 1983).

[47] *See* P. Brief at 19-21.

at bar is that these benefits were in major part federal programs funded with public monies; in each case a federal purpose was assigned by the courts for the expenditure of the monies or retirement benefits to justify preemption of state law.

This Court took note of this distinction in *Hisquierdo, supra,* at footnote 24 of that opinion, noting that

> "In this case, Congress has granted a separate spouse's benefit, and has terminated that benefit on absolute divorce. Different considerations might well apply where Congress has remained silent on the subject of benefits for spouses, particularly when the pension program is a private one which federal law merely regulates. See Employment Retirement Income Security Act of 1974, 88 Stat. 829, 29 U.S.C. Sec. 1001 *et. seq.* Our holding expresses no view concerning the application of community property principles to benefits payable under programs that possess these distinctive characteristics."

This Court's careful attention to community property rights in *Hisquierdo, Campa,* and other California cases affirmed by the Supreme Court, cited together with the solid jurisprudence of lower courts across our nation, evidences a strong statement by the federal judiciary of the vitality of community property laws in the face of a challenge under ERISA.

V.
The REA and QDRO Preemption of State Community Property Law: Congress Says "NO"

In 1984, Congress amended ERISA via the Retirement

Equity Act (REA)[48]. This amendment contained provisions dealing with allocation of assets of different pension plans, lowering age requirements for participation and vesting, increased involuntary cash out provisions, and tax law changes as to benefits. Included in the REA was the mandate that annuity plans be required for surviving spouses and the creation of the Qualified Domestic Relations Order (QDRO). The latter provisions are the subject of consideration in this case.

As stated in *N.Y. Conference of Blue Cross, supra,* "[P]reemption claims turn on Congressional intent." Petitioner and the U.S. Department of Labor contend that the enactment of these provisions changed the harmonious co-existence of ERISA and the property laws of the states.[49] The best evidence of Congressional intent simply does not bear this out.

Most of the major provisions of the REA were contained in a bill first introduced by Rep. Geraldine Ferraro as HR 1641 on February 6, 1981.[50] Representative Ferraro reintroduced her legislation in the 98th Session in 1984 as HR 2100. The Reagan administration had legislation introduced covering the same subject matter in the fall of 1983 by Rep. John Erlenborn as HR 4032. After the Subcommittee on Labor-Management Relations, chaired by Rep. Clay, ordered HR 2100 amended, Rep. Clay introduced HR 4280 to reflect the subcommittee

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[48] P.L. 93-406, 88 Stat. 829.

[49] *See* P. Brief at 16-18. The United States' argument appears to depend exclusively on the REA provision to create a preemption of state property laws under ERISA. *Amicus Curiae* Brief of the United States Supporting Petitioner (hereinafter S.Brief) at 12-21.

[50] See 130 Cong. Rec. (House) at 23486, remarks made by Rep. Bill Clay, the lead author of HR 4280 (the REA provisions).

amendments. That bill eventually passed Congress with the adoption of Senate amendments on August 9, 1984. Original co-authors included Rep. Erlenborn, Rep. Marge Roukema and Rep. Ferraro. All were recognized by their colleagues for their leadership and involvement in the passage and development of the REA.[51]

On August 9, 1984, these sponsors stated from the floor their intent on the effect of the REA on the property laws of the states, as follows:

Rep. Erlenborn:

> "Another provision of the bill [HR 4280, the REA], a modification of one originally included in my ERISA Simplification Act [HR 3071] preserves and clarifies the original broad exemption of state law under ERISA Section 514 while carving out an appropriate and well defined exception for domestic relations orders meeting specific standards, this is, qualified domestic relations orders. Domestic relations orders not meeting the qualification requirements would continue to be preempted under ERISA and considered prohibited assignments and alienations under both ERISA and the Internal Revenue Code until they are modified to meet such requirements. To protect plans and participants, the bill invokes specific provision for when benefits can commence, the form in which they can be paid, the present value of the amount on which they are based, and the non-duplication in the event of multiple orders....*[The REA will] make it clear that the bill generally does not define or restrict the marital property interest in retirement benefits as determined under state law.*"[52]

Congressman Erlenborn's comments in the Congressional Record may seem convoluted from the viewpoint of some court interpretations of the REA,[53] however, they come from a person that had sponsored his own ERISA legislation and been very involved in the passage of the REA. It is safe to assume in light of other comments in the Congressional Record on this day that Rep. Erlenborn's comments make good sense. For the purpose of the case at bar, his remarks are analyzed in three sections:

1) The original preemptions of state law under ERISA are preserved and clarified.[54] As set out above the preemption as applied by federal courts then universally provided an exception to state laws that defined marital property rights as to pension benefits. That Rep. Erlenborn was aware that state laws defining marital property rights in pension plans were exceptions from preemption can be of little doubt. The author of the bill had prepared a summary of comparisons to the existing law, HR 4280 and the Senate bill.[55] With regard to the preemption issue the summary read as follows:

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[51] *Ibid* at 23488-23492.

[52] *Ibid.* at 23481-23482, emphasis added.

[53] *See, e.g. Ablamis v. Roper*, 937 F.2d 1450 (9th Cir. 1991).

[54] For example, those dealing with hospital regulations, insurance fraud claims and subrogation, state laws that refer to ERISA, etc.

[55] 130 Cong. Rec. (House) at 23483-23484. The summary is a common practice in legislatures and is often read more widely by the membership than the actual bill itself. The Congressional Journal at 23482 reflects that a different section of the REA was the subject of another such summary.

"C. Special rules for assignments in divorce, etc...Proceedings

1. ERISA preemption

Present law---ERISA preempts all state laws that are *inconsistent* with its provisions. *Some courts have created an implied exception for domestic relations law.*

House bill—qualified domestic orders are excepted from the ERISA preemption provisions.

Senate bill---No ERISA preemption exception is provided.

Senate amendment to HR 4280 adopts house provision.[56]

2) A well-defined exception for QDROs meeting specific standards is carved out. Domestic relations orders not meeting the qualification requirements would continue to be preempted under ERISA and considered a prohibited assignment and alienation until they are modified to meet such requirements. When speaking of marital property rights in pension funds, Rep. Erlenborn only speaks of orders, not laws being preempted, meaning that such order will not be recognized under the plan for payment. The requirements of the orders are obviously more procedural than substantive because Rep. Erlenborn contemplates that they can be modified to meet QDRO requirements without the property rights in the pension being defined by ERISA, but instead by the states. The sections which define a QDRO are drawn expansively. Indeed, the familiar, perplexing term, "relates to," is used to define a domestic

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[56] *Ibid.* at 23484. Rep. Erlenborn stated that he concurred with the examples provided by the author that illustrate the true intent of the QDRO provisions in the legislation. The examples to follow illustrate the operation of the QDRO as set out in the summary.

order.[57] Other than these broad provisions a QDRO only requires that the order provide certain information and that it not harm the actuarial soundness of the pension plan.

It is significant that the final remedy under the REA, if no QDRO is presented to the administrator of the plan, is that the plan's obligation is terminated to the extent of past payments made. There is no loss of property rights under state law, only the loss of a right of action against the plan.[58]

3) The object of the bill is to regulate the retirement plans, not retirement benefits. The bill makes specific provision for when benefits can commence, the form in which they can be paid, and the present value of the amount on which they are based, and the non-duplication in the event of multiple court orders and makes clear that the bill generally does not define or restrict the marital property interests to retirement benefits as determined under state law.

Rep. Erlenborn's view of preemption of state property law by the REA is unanimously endorsed by those who played a major role in the passage of the House bill.

The author of the bill, Rep. Clay, was concerned that its provisions may be misconstrued: "Because the provisions will be

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[57] 29 U.S.C. §§1056(d)

ii. the term "domestic order" means any judgment, decree, or order (including approval of a property settlement agreement) which---

I. Relates to the provision of child support, alimony payments or marital property rights to a spouse, former spouse, child or other dependent of a participant...

[58] 29 U.S.C. §1056(d)(ii)(I).

interpreted by domestic relations lawyers and judges, who generally may not be familiar with pension laws, it is very important that the rules in this area be clear."[59]

So concerned about future misconstruction of his bill, Rep. Clay outlined four extensive examples to illustrate the function of the REA in marital property rights.[60] All four examples begin with "The state court, applying the domestic relations law of state A...." The terms "marital property rights" and "domestic relations laws" appear to be used interchangeably in the context of Rep. Clay's examples.

The second example (Example 2) given by Rep. Clay is particularly illustrative for the purposes of the case at bar: The participant spouse (P) has married twice, spouse one (S1) and spouse two (S2):

> "Assume the domestic relations order permits S1 to begin receiving her court awarded interest at any time after P attains age 55. When P attains age 55, S1 elects to begin receiving her interest in the form of a 60-month certain and life annuity. She designates her son as the beneficiary of any benefits payable if she dies before receiving the 60 months of guaranteed payment---"[61]

Example two is particularly devastating to any argument that Congress could not have contemplated that the child of a former spouse could receive retirement benefits that could

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[59] 130 Cong. Rec. (House) at 23486.

[60] *Ibid.*

[61] *Ibid.* at 23487. The example is lengthy, but shows that such a transmission to an heir is permitted.

otherwise go to a participant or his surviving spouse.[62] Example 2 does not even require the son of S1 to be the son of P!

Example 3 is also pertinent to the *Boggs* case. It illustrates the result where state law vests S1 with an interest in the retirement benefit of P. In this example S1 and S2 divide P's survivor annuity upon P's death.[63]

Rep. Clay concluded his examples with the statement that the REA, his legislation, "assures that the trauma of divorce is not followed by the refusal of a pension plan to honor a legitimate *state court* order awarding the ex-spouse a portion of the worker's benefit."[64]

Rep. Clay made a real effort to explain carefully that (1) state marital property law is not preempted by the REA, (2) the REA contemplates retirement benefits going to the children of a former spouse, and (3) a former spouse may share benefits with a present spouse.

Representative Renaldo, original co-author of the REA legislation, on August 9, 1984, spoke of the key elements of the bill:

> "[T]he legislation resolves an ambiguity in existing law by clarifying that a judge may divide pension benefits between the spouses pursuant to alimony, child support and property settlement orders and decrees. Some participants and employees have alleged that the federal

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[62] See P.Brief at 27; *Ablamis, supra*; S.Brief at 29.

[63] 130 Cong. Rec. (House) at 23487.

[64] *Ibid.* at 23488. Emphasis added.

preemption and antiassignment provisions of ERISA prohibit such divisions."[65]

Representative Regula also commented that the REA "clarifies [that] assignment of pension benefits by state divorce courts in cases related to alimony, child support and marital property rights is permitted.[66]

These members were not making general statements about preemption. Their comments were specific, direct and unanimous as to state community property law. It was not preempted. There appears to be little here to change the overwhelming jurisprudence that concurred with that position at the time the REA was enacted.

The strong unified congressional intent is clear. The QDRO was designed to facilitate benefit plans to function in the context of state marital property laws. The purpose was to require needed information, assure actuarial soundness, and a procedure to relieve benefit plans of liability in protracted marital property disputes. The QDRO is an effort in cooperation in its truest sense. It was intended as a reaffirmation of the state governance of marital property rights and gives those regulated by Congressional act, plan administrators, a procedure for that governance.

For a court to hold that the REA preempts state marital property rights not only divests a state of its traditional power in that realm but deprives Congress of the power to fashion law in accordance with its clear intent.

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[65] *Ibid.* at 23490.

[66] *Ibid.* at 23491.

It is maintained by Petitioner and the United States that through the REA Congress enacted extensive law dealing with the partitioning of pension benefits as to spouses.[67] This is false. The only changes made were to require that a joint survivor benefit be a part of a retirement plan with the surviving spouse(s) entitled to a 50% interest.[68] Prior to REA, the law required that *if* such an annuity existed, then the surviving spouse was entitled to 50%[69]. Under REA, the annuity can be waived with the written consent of both spouses.[70]

Other than these modifications, the vast bulk of ERISA law in effect concerning benefits vis a vis a spouse was contained in the 1974 ERISA legislation that was consistently held by our courts not to preempt the marital property rights of our states. It is incredible that such adjustments to such a large body of federal law, ERISA, could or would be intended to upset such settled jurisprudence as was that of the exception of state marital property law from the preemption clause of ERISA. This is particularly the case in view of the clear statements on the REA's intent by the leaders of the effort to adopt the measure, made immediately *prior to* the vote by the House!

Petitioner argues that to recognize state marital property rights would cause an unworkable situation for plan

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[67] P. Brief at 17, Judge Wiener's dissent in *Boggs*, S. Brief at 17-20.

[68] 130 Cong. Rec. (House) at 23484.

[69] *Ibid.*

[70] *Ibid.*

administrators.[71] This is unfounded and evidences a lack of understanding of the purpose and common-sense application of the QDRO. The QDRO was designed to preclude claims against the plan itself unless the requirements of the QDRO are met. Litigation by heirs against the plan by subsequent heirs of heirs of beneficiaries, administrators making diverse calculations based on varied state laws, calculations of rights of workers who have moved between jurisdictions is not the job of the administrator. The QDRO is required to provide that information to the administrator of the plan. That burden and right to make those decisions clearly rests with the state courts deciding state law.

As set out previously, the clear intent of the QDRO is not to define property rights under state law but to impose requirements insofar as the collection of funds from the plan to enforce these rights. The sanction for failing to produce a QDRO to a plan administrator is that the plan is relieved of liability for payments made—not the forfeiture of property rights under state law.

To preempt state property law would void the purpose of the QDRO which is to provide that pension plans can operate efficiently under those laws.

The Boggs children seek to enforce a right which in no way touches the pension plan. Their ability to pursue their rights outside of administration certainly is not preempted.

The conclusion of the Fifth Circuit is well reasoned. It is sensitive to both the laws of our states and the federal interest in the efficient operation of pension benefit plans. To quote:

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[71] P. Brief at 22-23; S.Brief at 25.

"Nothing is sought from the plan or its fiduciary. No duty will be imposed on the plan or the administrator....This is no greater effect than the states' garnishment laws. *Mackey v. Lanier Collection Agency and Service, Inc.* 486 U.S. 825 (1988)."

VI.
Anti-alienation Under QDRO

29 U.S.C. §1056(d) sets out:

"(d) assignment or alienation of plan benefits
(1) Each pension plan shall provide that benefits provided under this plan may not be assigned or alienated.

* * *

(3)(A) Paragraph (1) shall apply to the creation, assignment, or recognition of a right to any benefit *payable* with respect to a participant pursuant to a domestic relations order, except that paragraph (1) shall not apply if the order is determined to be a qualified domestic relations order. Each pension plan shall provide for the payment of benefits in accordance with the applicable requirements of any qualified domestic relations order. (Emphasis added).

The word "payable" must mean those payments which the plan is currently obligated to pay. The interpretation is further tempted by the immediately following sentence, which requires pension plans to provide for payments of benefits. There is no authority for anti-alienation protection for benefits

"paid."[72]

However, this interpretation is determined in 26 CFR §1.401(a)-13, made pursuant to rule-making authority over the pension plans that are mandated under the QDRO relative to the anti-alienation provisions.[73]

> **26 CFR § 1.401 c** provides:
> (C) Definition of assignment and alienation---(1) in general. For purposes of this section, the terms "assignment" and "alienation" include---
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> * * *
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> (ii) any direct or indirect arrangements (whether revocable or irrevocable) whereby a party acquires from a participant or beneficiary a right or interest *enforceable against the plan*, in, or to, all or any part of a plan benefit payment which is, or may become, payable to the participant or beneficiary. (Emphasis added).

This rule has been interpreted in the *Guidry* case to mean that prohibition against alienation applies only to actions against the pension plan and not as a bar to actions against the

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[72] According to Webster's New Twentieth Century Dictionary of the English Language, Unabridged, 1956, 2ed. Vol. 2, "payable" is 1. that can be paid. 2. that is to be paid (on a specific date); due. 3. that is or can be profitable, as a mine or a business venture. "Paid" is the past tense and past participle of "pay" and is defined as 2.(a) given in payment, as money (also with *out*); (b) discharged; settled, as a debt (also with *up*).

[73] *Trucking Employees of North New Jersey Welfare Fund, Inc. v. Robert Coville*, 16 F.3d 52 (3rd. Cir. 1994).

beneficiary.[74]

The history of the *Guidry* case is most relevant to the case at bar. *Guidry* is the sole case cited by the Ninth Circuit *Ablamis* in applying the REA antialienation clause and it is the only case concerning antialienation of ERISA benefits cited in the Brief of the United States.[75] We cite *Guidry* here as a watershed case to permit funds that have been paid to participants or beneficiaries to be freed from federal non-alienation regulations. It is a very interesting case for purposes of analyzing *Boggs*.

Mr.Guidry was found to be liable to his union for embezzlement and the union obtained a judgment against him in the amount of $275,000. When the union attempted to execute the judgment against Guidry's pension benefits, he raised the issue of antialienation of pension benefit monies. The district court ordered that Guidry's benefit payments be put in a constructive trust in the union's favor.[76] The Tenth Circuit affirmed that decision.[77] On *certiori*, the U.S. Supreme Court reversed and remanded the case[78] stating that even in the case of fraud it would be inappropriate to allow alienation of benefits payable to a participant, thereby judicially creating an exception

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[74] *Guidry v. Sheet Metal Workers National Pension Fund*, 10 F.3d at 704 (10th Cir. 1993), *on reh'ing* 39 F.3d 1078 (10th Cir. 1994), *cert. denied* 115 S.Ct. 1691; *Trucking Employees of North New Jersey Welfare Fund, Inc., supra*; *Velis v. Kardanis*, 949 F.2d 78 (3rd. Cir.1991).

[75] S. Brief at 14.

[76] 641 F.Supp 360.

[77] 856 F.2d 1457.

[78] 493 U.S. 365.

to the REA antialienation provision. This is the decision cited by the *Ablamis* court and the United States in its brief herein.

But that was far from the end of the *Guidry* saga. The funds of the constuctive trust were released to Guidry, and he placed them in a bank account. *The union then garnished the bank account.* Again, Guidry filed suit, raising the same antialienation provision. In that case (which we will call *Guidry II*), the district court ruled in Guidry's favor, stating that "so long as the proceeds [of the pension benefit payments] are clearly identified as such and have not been co-mingled with other funds or used for the acquisition of assets" they continue to be protected by the anti-alienation provisions of ERISA.

Wrong again. In *Guidry II* on appeal to the Tenth Circuit[79], that appeals court reversed the district court, stating that once the pension benefit funds were paid, the anti-alienation protecitons of ERISA are no longer afforded to the participant or beneficiary. This was again reaffirmed on rehearing, and the U.S. Supreme Court denied *certiori*.[80]

Citing 26 CFR §1.401(a)-13 and *Trucking Employees of N.J. Welfare Fund, Inc.* (decided between the initial circuit court ruling and rehearing) and *NCNB Fin., Inc. v. Shumate*[81], the Tenth Circuit held in *Guidry II* on appeal that ERISA Section 206(d)(1) protects ERISA-qualified pension benefits from garnishment only until paid to and received by plan participants

[79] 10 F.3d 700 (10th Cir. 1993).

[80] 39 F.3d 1078; *cert. denied* 115 S.Ct. 169.

[81] 829 F.Supp 178 (W.D. Va. 1993).

and beneficiaries.[82]

With its decision in *Boggs v. Boggs*, the Fifth Circuit joins the Tenth and Third circuits, along with a Virginia district court decision, in a plain spoken, common-sense approach:

> "ERISA is concerned not so much with what the beneficiary does with his pension checks or how they are spent but whether those in charge actually deliver those benefits."[83]

Under the holdings of these cases, it is clear that the anti-alienation provisions of ERISA do not prohibit the sons of Isaac Boggs from claiming their inheritance from their mother.

The Louisiana laws on property and inheritance, delineated in Section II of this brief, should be mentioned again here. There is no way under Louisiana law that the sons of Dorothy and Isaac Boggs could be transfered a right to a "benefit payable" under the plan. Their father enjoyed the usufruct of their mother's interest in the retirement plan, so that all payments of benefits were required to be paid to Isaac for his lifetime. Therefore, there was no transfer of "benfits payable" under the plan.

The language of the anti-alienation provision of the U.S. Treasury regulations[84], and the solid and overwhelming jurisprudence and legislative history declare that there is a *great*

[82] See also *Velis, supra,* and *First Bank of Linden v. Sevina*, 43 F.3d 637 (11 Cir. 1995).

[83] *Boggs, supra.*

[84] 26 CFR §401(a)-13.

distinction between the terms "benefits payable" and "benefits paid." The Fifth Circuit is right and their judgment should be affirmed.

VII.
The IRA Account

Petitioner argues that the funds in the IRA account are to be accounted as proceeds from the investments made by Dorothy and Isaac. The Fifth Circuit saw through this attempted cloaking in ERISA, by ruling that the provision relied upon by Sandra was not intended to determine property rights to the money that was used to fund the IRA account.[85] It is worth noting that the decision of the tax court in *R.L. Powell v. The Commissioner of Internal Revenue*, 101 TC 489 (1993) finds contrary to Petitioner's position.[86]

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[85] *Boggs, supra.*

[86] In determining whether Flora, the ex-spouse of Rodney, was a distributee within the meaning of section 402(a)(1) they looked at the meaning of "alienate" in light of the anti-alienation provisions of section 401(a)(13), using the dictionary. "Alienate" means "to convey or transfer to another (as title, property or right): part voluntarily with ownership of." They found that by virtue of California community property law, Flora's rights in the qualified employee savings plan of Rodney were acquired by her directly at the outset of the community and did not represent a transfer of her rights which had previously accrued to Rodney. This case shows (1) that a federal court believed that it must (and did) apply state community property law substantive provisions even when the federal statute is implicated, and (2) Dorothy's rights in the ERISA plan in the case at bar were never "transfered" under the plain meaning of the term, but were acquired by her directly in the community, and her heirs inherited by operation of Louisiana seizin, and thus no transfer occurred. Neither acquisition of rights was voluntary. Thus, as in the tax court case, no prohibited alienation could have occurred.

The Fifth Circuit's position is bolstered by a reading of 26 CFR §1.401(a)-explanation .1395. This rule states that anti-alienation provided for in the Internal Revenue Code "applies as a condition to qualification rather than a positive legal command"; so much more would this be true on the decision of property rights.

Undoubtably, the Fifth Circuit could envision and feared the havoc that would ensue if a spouse could take community funds and establish an IRA that would cheat the other spouse from funds in a community property settlement.

VIII.
The Judgment of Possession in Dorothy's Succession Meets the Criteria of a QDRO

The Judgment of Possession in the Succession of Dorothy Boggs was rendered on February 5, 1980. It should be, after amended to meet the reporting requirements, considered as meeting the criteria for a QDRO. Although a plan administrator may treat this judgment as a QDRO, under law, because it was rendered prior to January 1, 1985 (the effective date of the REA)[87], this Court should take the opportunity presented by the case at bar to rule that an order in a probate meets the criteria of a QDRO.

In *Ablamis, supra* at 1456, the Ninth Circuit held that a probate order could not be a QDRO. This seems ill-considered.

The domestic relations order requires that it "relate to" marital property rights and is made pursuant to a state domestic

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[87] See Section 302 of the REA.

relation law (including community property law).[88] The expansive language in the ERISA preemption clause is idential to that defining the domestic relations order for QDRO purposes.

When the same words are used in different sections of the law they should be afforded the same meaning.[89] The term "relates to" has been held to have expansive and deliberately broad meaning.[90] Under the interpretations of the term "relates to" it is obvious that the judgment of possession in Dorothy's succession relates to marital property rights. Indeed, all that the judgment does is delineate rights which she acquired during the existence of the community of Dorothy-Isaac. That the judgment is rended pursuant to community property law is clear on its face. It recognizes Isaac's share in the community proerty and distributes hers. It is based on the community property laws of Louisiana. The complete statutory language of ERISA coupled with statutory language and jurisprudence, shows that the judgment of possession meets the QDRO criteria.

Congressional intent in the adoption of the REA, in particular the examples given by its author, clearly show that it was contemplated by Congress that non-employee spouses could leave their interest in a pension to an heir.[91] It is worth noting that the executive branch of government uses Rep. Clay's examples in interpreting the intent of the REA. The Code of

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[88] 29 U.S.C. §1056(d)(B)(ii).

[89] *Harline v. Harline*, 950 F.2d 669, 674 (10th Cir. 1991).

[90] *Boggs, supra.*

[91] See example 2 in comments of Rep. Bill Clay, discussed in detail, *supra.*

Federal Regulations specifically incorporates Rep. Clay's August 9, 1984 comments in explanation of the rules contemplating the inheritance of marital retirement rights.[92] Further, Section 1.123 of the same rule states that it would be possible for a spouse to bequeath her share in a pension benefit, but that her probate judgment must provide that payments are to be made to a child or other dependent, in order to meet QDRO requirements This would be the case in *Boggs.*

We urge that this Court follow the clear intent of Congress and the interpretation of it by the executive branch and rule definitively that a probate or succession order may meet the criteria of a QDRO.

To do otherwise would have the result that a spouse may only preserve their individual rights in a pension by dissolving their economic partnership---the same partnership REA, by its stated purpose, seeks to preserve.[93] Certainly, Congress did not intend that the only way that a spouse could protect their right in pension benefits is through a divorce or community property dissolution agreement.

CONCLUSION

The pages of the Congressional Journal come alive with the hopes and pride that the architects of the Retirement Equity Act felt with its imminent passage on August 9, 1984. Without exception, each sponsor described it as a recognition of marriage as an economic partnership.[94] How ironic that their efforts

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[92] See 26 CFR §§1.401(a)-13, 1.136, 1.401.

[93] See the dissenting opinion in *Ablamis, supra* at 1468.

[94] 130 Cong. Rec. (House) at 23481-23492.

would be used today in an attempt to deny the children of a majority contributor to a retirement investment their legacy, and in doing so deny her rights in those investments. The Petitioner proclaims that Dorothy Boggs had no rights in her spouse's retirment funds, and uses the REA as her authority. How ironic it is that the equal rights of Louisiana spouses, a right that they have enjoyed and depended upon for generations, a right that is our legacy, a right that is more refined and protective than federal law, would be threatened by the actions of these redacters of the REA, despite their fervent statements that such is not their intent.

Petitioner has searched all the way to this Court for an exemption from the duty imposed upon all similarly situated people in Louisiana, that is, to account for the use of property that is not hers.

It is the Petitioner who seeks the exception in this case--an exception that would allow her to keep the funds of a non-employee spouse, a direct contravention of the intent of the law that she seeks to use as a shield.

There is no reason to find preemption of Louisiana law in this case. Such action would violate the clear intent of Congress and cause a final disruption to solid juriprudence that holds that marital property rights are the province of the state. With this case, the Court has the opportunity to settle this matter and provide predictability in this area of law.

If spouses lost the right to bequeath or transmit a major portion of their estate, pension benefits, to their heirs, this eventually will discourage participation in retirement pension plans. Such a ruling would prohibit spouses from taking full advantage of the benefit of the federal estate tax credit. In the final analysis, it would give inferior rights to a predeceased, non-

employee spouse in the right to transmit or make a bequest.

The Fifth Circuit's holding with regards to the anti-alienation provisions is a sound one. It makes good sense. If payments already made to beneficiaries come under the anti-alienation protections of ERISA, then no lender could feel secure in collateral held. Each pledge, assignment or mortgage would need to be executed with evidence that the collateral was not acquired with or consisted of benefits paid from retirement plans. Debtors could hide from creditors indefinitely and over generations by making sure their assets are held in retirement plans.

We find no authority for the application of anti-alienation protections for funds paid by private pension plans and therefore question the federal interest sufficient to preempt state law which would decide the post-distribution ownership of those funds.This is no greater effect than the states' garnishment laws.

The decision of the Fifth Circuit is a sound one and should be affirmed. The children of Dorothy Boggs should inherit her estate---under the laws of the state of Louisiana---not the second spouse of her husband.

Respectfully submitted:

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